

# STATE OF NEW YORK

910--A

2025-2026 Regular Sessions

## IN SENATE

(Prefiled)

January 8, 2025

Introduced by Sens. SANDERS, WEBER -- read twice and ordered printed, and when printed to be committed to the Committee on Budget and Revenue -- recommitted to the Committee on Budget and Revenue in accordance with Senate Rule 6, sec. 8 -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the tax law, in relation to establishing a returning veterans tax credit for businesses that hire veterans and disabled veterans

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. Section 210-B of the tax law is amended by adding a new  
2 subdivision 63 to read as follows:

3 63. Returning veterans tax credit. (a) General. A taxpayer shall be  
4 allowed a credit, to be computed as provided in this subdivision,  
5 against the tax imposed by this article for each veteran or disabled  
6 veteran hired during a taxable year, provided that:

7 (i) such veteran is a new employee and is employed for thirty-five  
8 hours or more per week and remains in the employ of such taxpayer for  
9 twelve months or more; or

10 (ii) such disabled veteran is a new employee who is employed for  
11 seventeen and one-half hours or more per week and remains in the employ  
12 of such taxpayer for twelve months or more.

13 (b) Amount of credit. A credit authorized by this section shall equal  
14 three thousand dollars per hired veteran and four thousand dollars per  
15 hired disabled veteran but shall not exceed fifteen thousand dollars  
16 annually.

17 (c) Carryovers. The credit allowed under this subdivision may be  
18 claimed and if not fully used in the initial year for which the credit  
19 is claimed may be carried over, in order, to each of the ten succeeding

EXPLANATION--Matter in italics (underscored) is new; matter in brackets  
[-] is old law to be omitted.

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taxable years. The credit authorized by this subdivision may not be used to reduce the tax liability of the credit claimant below zero.

(d) Definitions. As used in this subdivision, the following terms shall have the following meanings:

(i) "New employee" shall mean any full time employee that causes the total number of employees to increase above base employment or credit employment, whichever is higher.

(ii) "Base year" shall mean calendar year two thousand twenty-six.

(iii) "Base employment" shall mean the average number of full time employees or full time equivalent employees during the base year. For a new business, base employment shall begin at zero.

(iv) "Credit employment" shall mean base employment plus the number of new employees for which a credit is earned for the prior tax years.

(v) "Veteran" shall have the same meaning as set forth in section eighty-five of the civil service law.

(vi) "Disabled veteran" shall have the same meaning as set forth in section eighty-five of the civil service law.

§ 2. Subparagraph (B) of paragraph 1 of subsection (i) of section 606 of the tax law is amended by adding a new clause (liii) to read as follows:

|                                                               |                                                                         |
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| <u>(liii) Returning veterans tax credit; subsection (www)</u> | <u>Costs under subdivision sixty-three of section two hundred ten-B</u> |
|---------------------------------------------------------------|-------------------------------------------------------------------------|

§ 3. Section 606 of the tax law is amended by adding a new subsection (www) to read as follows:

(www) Returning veterans tax credit. (1) General. A taxpayer shall be allowed a credit, to be computed as provided in this subsection, against the tax imposed by this article for each veteran or disabled veteran hired during a taxable year, provided that:

(i) such veteran is a new employee and is employed for thirty-five hours or more per week and remains in the employ of such taxpayer for twelve months or more; or

(ii) such disabled veteran is a new employee and is employed for seventeen and one-half hours or more per week and remains in the employ of such taxpayer for twelve months or more.

(2) Amount of credit. A credit authorized by this section shall equal three thousand dollars per hired veteran and four thousand dollars per hired disabled veteran but shall not exceed fifteen thousand dollars annually.

(3) Carryovers. The credit allowed under this subsection may be claimed and if not fully used in the initial year for which the credit is claimed may be carried over, in order, to each of the ten succeeding taxable years. The credit authorized by this subsection may not be used to reduce the tax liability of the credit claimant below zero.

(4) Definitions. As used in this subsection, the following terms shall have the following meanings:

(i) "New employee" shall mean any full time employee that causes the total number of employees to increase above base employment or credit employment, whichever is higher.

(ii) "Base year" shall mean calendar year two thousand twenty-six.

(iii) "Base employment" shall mean the average number of full time employees or full time equivalent employees during the base year. For a new business, base employment shall begin at zero.

(iv) "Credit employment" shall mean base employment plus the number of new employees for which a credit is earned for the prior tax years.

1 (v) "Veteran" shall have the same meaning as set forth in section  
2 eighty-five of the civil service law.

3 (vi) "Disabled veteran" shall have the same meaning as set forth in  
4 section eighty-five of the civil service law.

5 § 4. This act shall take effect immediately and shall apply to taxable  
6 years beginning on or after January 1, 2027 and shall apply to those  
7 employees hired after this act shall take effect.